

Performance and Compensation Policy

Daisy Health

Policy ID: HR-PC-011

Effective Date: January 1, 2025

Last Reviewed: June 1, 2025

Owner: People Operations and Finance

Purpose

Daisy Health is committed to rewarding employees fairly and transparently. This policy describes how performance is evaluated, how compensation is structured, and what employees can expect during the annual review cycle.

Scope

This policy applies to all full-time and part-time Daisy Health employees. Compensation for contractors is governed separately by their engagement agreements.

1. Performance Review Cycle

Daisy Health conducts performance reviews twice per year:

Mid-Year Check-In (July)

- Informal review between employee and manager
- Focus on progress against goals set at the beginning of the year
- No compensation changes result from the mid-year check-in
- Employees complete a brief self-reflection; managers provide written feedback
- Opportunity to adjust goals for the second half of the year

Annual Review (December)

- Formal performance evaluation completed in the HR system
- Employee completes a self-evaluation
- Manager completes an evaluation covering performance, competencies, and impact
- Peer feedback may be solicited for senior or cross-functional roles
- Results directly inform merit increases and bonus decisions effective January 1

2. Performance Ratings

Daisy Health uses a five-point performance rating scale:

Rating	Description
5 — Exceptional	Consistently exceeds expectations; significant impact beyond role scope
4 — Exceeds Expectations	Regularly surpasses goals; strong contributor
3 — Meets Expectations	Fully achieves role expectations; solid, reliable performer
2 — Developing	Partially meets expectations; improvement needed in key areas
1 — Below Expectations	Significant gaps; performance improvement plan required

Most employees are expected to receive a rating of 3 or 4. A rating of 1 or 2 triggers the Performance Improvement Plan (PIP) process.

3. Goal Setting

Employees and managers set performance goals at the beginning of each year during the goal-setting period (January). Goals should be:

- **Specific** — clearly defined outcomes
- **Measurable** — trackable progress
- **Achievable** — realistic given role and resources
- **Relevant** — aligned with team and company priorities
- **Time-bound** — with clear deadlines

Clinical staff goals include both clinical quality metrics (documentation timeliness, quality scores, patient satisfaction) and professional development targets.

4. Compensation Structure

Base Salary

Daisy Health sets base salaries based on:

- Role, level, and scope of responsibilities
- Geographic market data for the employee's work location
- Internal equity across comparable roles
- Individual experience and qualifications

Daisy Health conducts an annual compensation benchmarking review to ensure salaries remain competitive in the healthcare technology market.

Merit Increases

Merit increases are awarded annually based on performance rating and market position:

Performance Rating	Typical Merit Increase Range
5 — Exceptional	6% – 10%
4 — Exceeds Expectations	4% – 6%
3 — Meets Expectations	2% – 4%
2 — Developing	0% – 1%
1 — Below Expectations	0%

Merit increases are effective January 1 and are reflected in the first payroll of the new year. Employees hired after October 1 are not eligible for a merit increase in their first review cycle.

5. Annual Bonus

Full-time employees are eligible for an annual performance bonus based on:

- **Individual performance rating** (50% weight)
- **Company performance against annual goals** (50% weight)

Target bonus percentages by level:

Level	Target Bonus (% of Base Salary)
Individual Contributor	5% – 10%
Senior Individual Contributor	10% – 15%

Manager / Clinical Lead	12% – 18%
Director	18% – 25%
VP and above	25% – 35%

Bonuses are paid in February following the performance year. Employees must be actively employed on the bonus payment date to receive a bonus. Employees who resign or are terminated before the payment date forfeit their bonus.

Part-time employees are eligible for a prorated bonus based on their FTE percentage.

6. Clinical Staff Compensation

Clinical employees are compensated through a combination of:

- **Base salary** — fixed annual salary for employed clinicians
- **Productivity component** — for applicable roles, a portion of compensation is tied to patient volume and clinical quality metrics
- **On-call pay** — hourly rate for scheduled on-call hours (specified in offer letter)
- **Holiday premium pay** — 1.5x for hours worked on company-observed holidays (see Holidays Policy HR-HS-008)

Clinical pharmacists, NPs, and PAs with productivity components receive monthly productivity reports showing their metrics relative to targets.

7. Pay Schedule

Employees are paid on a **bi-weekly schedule** (every two weeks, 26 pay periods per year). Pay is deposited via direct deposit on Fridays.

Employees must set up direct deposit during onboarding through the HR system. Paper checks are not available.

8. Compensation Transparency

Daisy Health is committed to pay equity and transparency. Employees may:

- Discuss their own compensation with colleagues — this is a protected right

- Request a compensation equity review from People Operations if they believe their pay does not reflect their role, experience, or the market
- View salary bands for their role level through the HR portal

Daisy Health conducts an annual pay equity analysis and takes corrective action where unjustified gaps are identified.

9. Performance Improvement Plan (PIP)

Employees receiving a performance rating of 1 or 2 may be placed on a Performance Improvement Plan. A PIP:

- Outlines specific performance gaps and required improvements
- Sets measurable goals with a clear timeline (typically 30–90 days)
- Includes regular check-ins with the manager and People Operations
- Results in one of three outcomes: performance improves and the employee returns to good standing; the plan is extended; or employment is ended

Being placed on a PIP does not automatically mean termination is imminent. Daisy Health is committed to giving employees a fair opportunity to succeed.

Related Policies

- HR-PT-001: PTO and Leave Policy
 - HR-HS-008: Holidays and Schedule Policy
 - HR-WC-006: Workplace Conduct Policy
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Sample Employee Questions This Document Answers

- When does Daisy Health do performance reviews?
- How is my bonus calculated?
- What merit increase can I expect if I receive a rating of 4?
- When are bonuses paid out?
- Can I ask my manager what salary band my role is in?
- What happens if I get a low performance rating?